

Primary Auction Note – May 2021

In a bid to raise **30 Billion,** Central Bank of Kenya is issuing two bonds, re-opened the **FXD2/2019/15 (13 Years),** and a new 25 year bond **FXD1/2021/25**. The coupon rate for the bond **FXD2/2019/15** is **12.734%** while for **FXD1/2021/25** will be market determined. The period of sale for the bond runs from **23/04/2021** to **04/05/2021.** The bonds will attract a withholding tax of 10%.

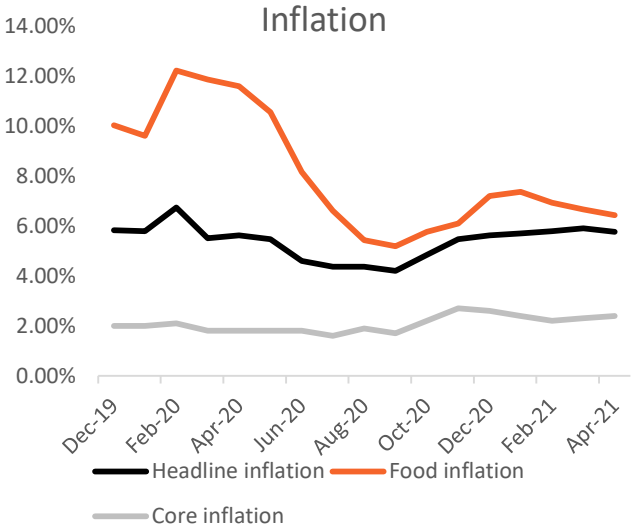
Government's appetite for debt remains elevated: In FY2020/21, government revenues have fallen below target due to the reduced economic activity, while expenditure remains elevated. Consequently, the budget deficit continues to increase. The government continues to borrow from the domestic market as it seeks to plug this deficit.

We advise investors to bid within the range of 12.95% to 13.15% for the **FXD2/2019/15-(13yr),** and **13.95%** to **14.30%** for the **FXD1/2021/25-(25yr).**

Secondary Bond Market:

In April, the secondary market activity increased. Turnover in April, increased by **1.30%** to **KES 65.65Bn ($608.74Mn)** from **KES 64.81Bn ($591.80Mn)** witnessed in March.

April Inflation:



In April, Headline Inflation decreased to **5.76%** from **5.90 %** in February. The CPI increased by **0.82%** from **113.81** in March to **114.75** in April. This decrease was driven by the lower food and fuel inflation compared to the previous month.

Headline inflation is likely to increase marginally on the back of higher food and fuel prices. Food prices are expected to edge higher due to the unfavorable weather conditions while increased economic activity has exerted upward pressure on global oil prices.

May 3rd , 2021

RECOMMENDATION:

13.0- Year FXD2/2019/15

Bid 12.95% to 13.15%

Period of Sale: 23/04/2021 to 04/05/2021.

25.0- Year FXD1/2021/25

Bid 13.95% to 14.30%

Period of Sale: 23/04/2021 to 04/05/2021.

Sovereign Credit Rating:

Moody's: B2 (negative)
Fitch: B+ (negative)
S&P: B (stable)

CPI:
(2019=100):
114.75

April Inflation:
5.76%

Interbank rate (30th April 2021):
4.83%

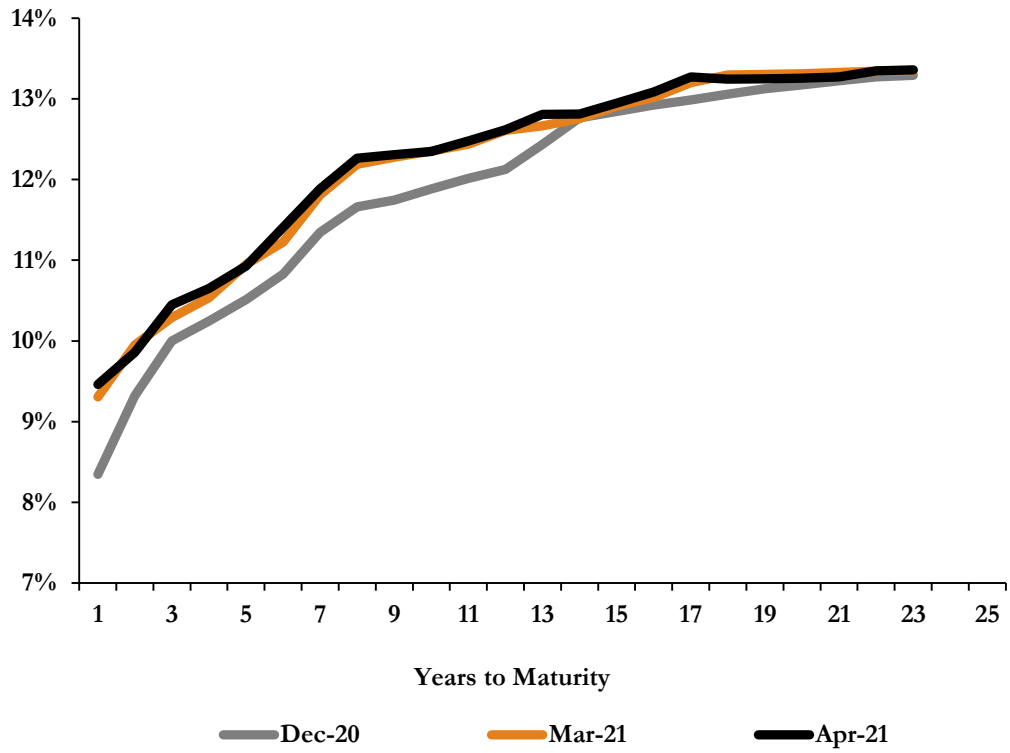
C.B.R (29th March 2021):
7.00%

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Interbank

Money market remained relatively liquid during the month of March. The interbank rate decreased from 5.55% as of 31st of March to 4.83% as of 30th April.

NSE Yield Curve



The yield curve remained relatively unchanged during the month. We expect interest rates to continue to increase as the governments appetite for debt remains elevated.

Currency:

The Kenya Shilling (KES) appreciated against the greenback over the month of April as it gained **1.52%.** On the 30th of April, the KES closed at a value of **KES 107.84/$** versus the **KES 109.51/$** witnessed at the end of March. The continued appreciation of the KES is likely to reduce the cost of imports while encouraging investments within the country.

CBK's usable foreign exchange reserve increased to **USD 7.64 billion** in April from **USD 7.35 billion** at the end of March, representing an increase to **4.71 months** of import cover from **4.51 months** of import cover. The reserves are still sufficient as they remain above the CBK's statutory requirements of four months of import cover.

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